

RIGHT TAIL RISK REMAINS

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“No matter how hard you train, somebody will train harder. No matter how hard you run, somebody will run harder. No matter how badly you want it, somebody will want it more. Be that Somebody.”

-Steve Prefontaine

The S&P 500 has already closed on 14 all time highs this year, going a perfect 5 for 5 last week, after some successful trade deals (most notably 15% w/ Japan and traders bracing for the same with the EU imminently), solid Q2 earnings, and more policy clarity out of Washington.

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Despite lofty valuations (S&P 500's 22x forward 12M P/E multiple is 9th percentile on 30 year look back), I believe right tail risk in the mkt still exists as investor positioning (neutral) and index prices (ATHs) remain incongruent. Also worth mentioning that both retail and systematic bids remain relentless, corporates reenter the market place in full force this week (buyback blackout period ends 7/28), and the highest profile IPO of the year is opening for trading on Thursday and should keep the recent AI re-enthusiasm at fever pitch.

Per GSPB data, last week US Fundamental L/S Gross leverage fell -1.2 pts to 209.9% (93rd percentile 3-year), while US Fundamental L/S Net leverage finished unchanged at 52.4% (51st percentile 3-year). US Fundamental long/short ratio (MV) rose +0.3% to 1.666 (13th percentile three-year)...

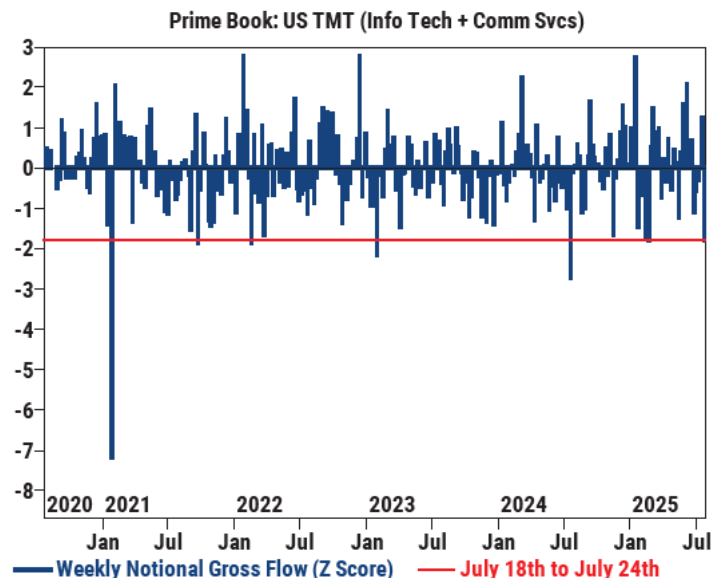
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US Fundamental L/S (Asset Weighted)			
Leverage	Gross %	Net %	L/S Ratio (MV)
Current	209.9	52.4	1.666
WoW Chg	-1.2pt	0.0pt	0.3%
MoM Chg	0.1pt	1.8pt	1.8%
YTD Chg	13.3pt	-1.6pt	-5.2%
Current 1-Yr Percentile	80%	51%	38%
Current 3-Yr Percentile	93%	51%	13%
Current 5-Yr Percentile	96%	34%	8%

Source = GSPB

Last week single stocks collectively were modestly net bought (+0.3 SDs), driven by risk unwinds with short covers outpacing long sales (1.5 to 1). Last week's notional de-grossing in US Single Stocks – long sales and short covers combined – was the largest in 6 months and ranks in the 94th percentile on a 5-year lookback. 8 of 11 US sectors saw de-grossing activity, led in notional terms by Info Tech (long sales > short covers), Consumer Discretionary (short covers > long sales), Energy (long sales > short covers), and Utilities (long sales > short covers).

HFs unwound risk in US TMT stocks at the fastest pace since Jul '24 (98th percentile 5-year), driven by long sales outpacing short covers (2 to 1). Most of the TMT subsectors saw risk unwinds, led by Semis & Semi Equip (long sales > short covers), Software (short covers > long sales), IT Services (short covers > long sales), and Media (short covers > long sales). It's worth noting that Semis & Semi Equip Net exposure (as % of total US Prime book) still sits near 5-year highs in the 94th percentile, while Software & Services Net exposure is near 5-year lows in the 2nd percentile.



Source = GSPB

Megacap positioning / expectations courtesy of GS TMT trading...

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- MSFT reports on 7/30... Microsoft has firmly broken out of its ~18month holding pattern, adding \$650bn to its cap (which now stands just shy of \$4T) this year. Well positioned to capture a number of major secular trends (gen AI, public cloud consumption, SaaS adoption etc) + relatively insulated from tariff considerations, MSFT has become an “easy” core long for most Growth, TMT, & Generalist portfolios. We have as a 9 on 1-10 positioning scale. For the quarter, Bulls are playing for mid-30s+ Azure Growth.

- META reports on 7/30... While still well-owned by most measures & sentiment still largely positive, we've noted a slight uptick in caution in recent weeks. We have as an 8.5 on 1-10 positioning scale. Strength still expected in the quarter & guide as the Ad environment remains strong (and benefiting from AI efficiency), but some longer term uncertainties are emerging given recent moves (hiring spree / off-balance sheet datacenter investments are bringing the ROI discussion back into the fold). For the print, bulls are looking for robust top line performance in the quarter & guide to support growing spending trends.

- **AMZN reports on 7/31...** A relative laggard on the year ("only" +5% ytd), AMZN has had to contend with tariff uncertainties (which have abated in recent weeks) + some technical/flow headwinds (Bezos Form 4s) + debates on AWS growth into the second half. Still a Long for most, but we sense some 2-way tactical positioning. We have as a 7 on 1-10 positioning scale. This looks like a very solid long opportunity to me right now. ☑

- **AAPL Reports on 7/31...** AAPL a very clear outlier from a sentiment, flow, and positioning perspective relative to Supercap Tech peers. As the largest MF Underweight in the market (per latest GIR "Mutual Fundamentals) and a popular HF relative short, AAPL has represented a significant source of "performance Alpha" for most this year (stock -17% vs. NDX +9%). We have as a 4 on 1-10 positioning scale. A beat is expected in the quarter (and most are "respectful" of that dynamic), but long term uncertainties around AAPL's competitive positioning feel like they remain as high as ever.